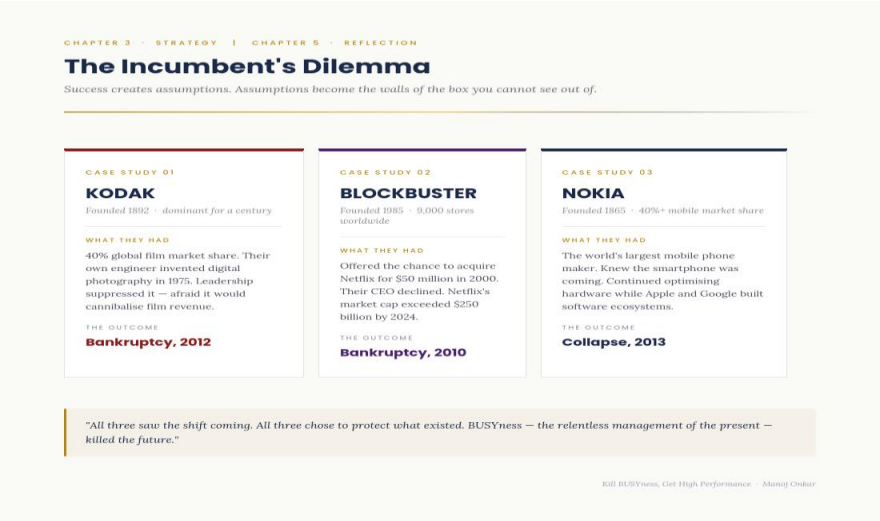

CHAPTER 3

Strategy

> *"If you cannot state what you will not do, you do not have a strategy. You have a list."*

Strategy is Business. Everything else is BUSYness.

Most organisations do not have a strategy.

They have a plan. A well-constructed, intelligently presented, thoroughly discussed plan. With targets, timelines, responsible owners, and review cadences. And it sits in a document, or a deck, and it gets referenced in quarterly business reviews, and it gives everyone a comfortable sense that the organisation knows where it is going.

But as Roger Martin says — a plan is not a strategy.

Strategy is a choice. A set of interconnected choices. A real choice, made by people who understand the trade-offs involved and are willing to live with the consequences. Strategy says: we choose to do this, and therefore we will not do that. Strategy says: we will play in this particular arena, with this particular advantage, in this particular way. And strategy, by definition, sacrifices something.

Most organisations are unwilling to make that sacrifice. And so what gets called a strategy is actually a collection of intentions — things the organisation hopes to do — without the discipline of choosing what it will not do.

BUSYness is often the consequence of this absence of strategic choice. When everything is a priority, nothing is. When there is no clear answer to "What do we not do?", every opportunity feels like it should be explored, every request feels legitimate, every initiative feels important. And the organisation spreads itself thin — active everywhere, decisive nowhere.

Strategy as Choice: Where to Play and How to Win

The clearest framework for what strategy actually is comes down to two questions. They sound deceptively simple. They are hard.

Where do we play? This is the decision about the arena. Which markets, which customer segments, which geographies, which product categories. Not "all of the above." The specific, deliberate, defensible choice about where your organisation will compete — and where it will not.

How do we win? This is the decision about advantage. Given where you have chosen to play, what is the distinctive capability, offering, or approach that gives you a real reason to win? Not "we are excellent" — excellence is table stakes. What do you do that creates value in a way that competitors cannot easily replicate?

Here is the diagnostic: Can you state your Where to Play and How to Win in two sentences, and then point to specific decisions made this month that reflect those choices? Not in the deck. In decisions. Real, visible, defensible decisions.

This is not a fringe observation. Studies from McKinsey, Bain, and BCG show that approximately 70% of strategies fail — not because they were poorly conceived, but because they were never fully executed. Research by Bridges Business Consultancy puts the execution failure rate even higher, at 90% of organisations — though estimates vary significantly by industry and organisation size. McKinsey research suggests that even high-performing companies typically deliver around 30% less value than their strategies promise. The gap is not in the quality of the strategy. It is in the distance between the deck and the daily decisions.

If the answer is no — if you cannot point to specific decisions aligned to your strategy — your organisation does not have a strategy operating in practice. It has a strategy on paper and BUSYness in reality.

How BUSYness Hides the Absence of Strategy

This is one of the most insidious things BUSYness does: it hides the strategic void.

When an organisation is in full motion — when the meetings are full, the KPIs are being tracked, the initiatives are underway, and everyone is working hard — there is no obvious signal that strategy is absent. Everything looks like it is working. The machinery is running. Output is being produced.

What you cannot see, from inside the motion, is whether any of it is actually moving the organisation toward something that matters. An organisation can be BUSY for years while its competitive position erodes. New entrants are making the choices the incumbent will not make. The market is shifting in a direction the BUSY organisation is too occupied to sense.

BUSYness does not just consume time. It consumes the time needed for the thinking that would reveal what the BUSYness is hiding.

The Incumbent's Dilemma

There is a painful irony in organisational success. The very things that built a successful organisation — its products, its processes, its customer relationships, its internal culture — become, over time, the assumptions that limit it.

What worked becomes what we do. What worked reliably becomes what we believe is true. And what we believe is true becomes, eventually, the box we cannot see our way out of.

Roger Martin captured this precisely: the incumbent's dilemma is that the very success that built the organisation creates the assumptions that limit it.

The history of business is littered with organisations that understood this intellectually and could not act on it in practice.

Blockbuster was the dominant force in video rental in 2000 — thousands of stores worldwide, a brand that defined an industry. That year, the company was offered the chance to acquire Netflix for $50 million and declined. Blockbuster filed for bankruptcy in 2010. Netflix's market capitalisation exceeded $250 billion by 2024. The failure was not operational. Blockbuster's stores ran well. Its people worked hard. Its processes functioned. The failure was strategic: an unwillingness to question the assumptions that had built the business, and a BUSYness that made the questioning feel unnecessary.

Kodak went further. The company did not merely fail to see the shift — it saw it from the inside and chose not to act. Kodak invented digital photography in 1975. Its own engineers built the world's first digital camera. Leadership suppressed the technology because it threatened film revenues — the very product whose protection eventually destroyed the company. By 2012, Kodak had filed for bankruptcy.

Nokia, with over 40% of global mobile phone market share in the early 2000s, continued to optimise hardware while Apple and Google were building software ecosystems around them. The smartphone revolution did not arrive without warning. Nokia

simply could not see it — because the assumptions built by its own success had become the box it could not see out of.

India provides one of the most instructive domestic examples of this same pattern. Yes Bank, once celebrated as India's fastest-growing private bank, was built on a strategy that existed on paper and BUSYness in practice. Its managing director signed off on loan after loan to stressed borrowers while the organisation remained BUSY managing the optics — press releases, awards, analyst calls, and a rising stock price. The absence of a real, honest strategy was hidden under an architecture of confident presentation. By the time the Reserve Bank of India superseded the board in 2020, the gap between what the organisation claimed to be and what it actually was had grown so large that only an emergency state rescue could contain the fallout. Depositors, investors, and employees paid the price for a BUSYness that had been hiding the truth for years. Yes Bank is not merely a cautionary tale about banking. It is a case study in what happens when BUSYness — the relentless management of optics — permanently replaces the honest thinking that real strategy requires.

Key Finding	Source
70% of strategies fail; 88% of transformations fail to achieve original ambitions	*McKinsey; Bain & Company, 2024*
90% of organisations fail to execute strategy	*Bridges Business Consultancy; McKinsey*

Key Finding	Source
Even high-performing companies deliver 30% less value than strategies promise	*McKinsey*
Executives lose 40% of strategy value to execution breakdowns	*Bain & Company*
Blockbuster declined to buy Netflix for $50M in 2000; filed for bankruptcy in 2010	*Multiple academic case studies; HBR*
Kodak invented digital photography (1975) but suppressed it; filed for bankruptcy in 2012	*ResearchGate case study; CDOtimes.com*
Nokia held 40%+ mobile market share in the early 2000s; lost it entirely	*Nokia collapse analysis; ResearchGate*
Most "strategies" are collections of intentions without real trade-offs	*Roger Martin, "Playing to Win" (2013)*
INDIA: Yes Bank — fastest-growing private bank, loan book fraud hidden by optics; RBI superseded board in 2020; emergency SBI-led rescue required	*RBI Inspection Reports; Economic Times 2020*

Long Thinking and Short Thinking

There is a particular leadership pathology that BUSYness produces: short thinking.

Short thinking is the orientation toward this quarter, this year, this cycle. It responds to what is immediately apparent and immediately urgent. It optimises for the near term. And in doing so, it systematically under-invests in the capabilities, relationships, and strategic positions that would make the organisation powerful five or ten years from now.

Long thinking is different. Not slower — more far-sighted. The leader who thinks long asks not "What do we need to achieve this quarter?" but "What kind of organisation do we need to become over the next decade to fulfil our purpose and impact the world?"

The outstanding organisations — the ones that last, that compound, that build something that matters — are built on long thinking. If you are not thinking long-term, you are not thinking. You are reacting.

Saying No

The most strategic thing a leader does is not deciding what to do. It is deciding what *not* to do.

In a BUSY organisation, the word "no" is conspicuously rare. New initiatives are launched. Old initiatives are never killed. Every opportunity feels like it should be explored. The result is an organisation doing a hundred things adequately rather than ten things exceptionally.

High-performance organisations are ruthlessly focused. They have made the real choice about where to play and how to win. And they protect that choice — actively, deliberately, sometimes uncomfortably — from the constant pressure to expand, dilute, and accommodate.

Almost every yes that is not aligned to your strategy is a yes to BUSYness.

We have seen this play out in its most complete form with one client in Maharashtra, India — a lean management consulting firm whose journey from BUSYness to High Performance is, in our experience, one of the most instructive we have witnessed.

Before. When we first engaged with this organisation, the CEO was running five or six businesses simultaneously. He was brilliantly capable, genuinely talented, and perpetually stretched. The lean consulting practice — which was genuinely the firm's most distinctive offering — was competing for his attention with training ventures, other consulting lines, and several unrelated commercial interests. Everything was in motion. Nothing was accelerating. The CEO was working at full capacity and the business was growing at the pace of a distracted leader: steadily, incrementally, and nowhere near its potential.

The struggle. The first strategic conversation was one of the most difficult we have had. The CEO could see the logic of focus. He could articulate the argument for narrowing clearly. But when it came to actually stopping — actually walking away from revenue streams, actually saying no to client categories that had been relationships for years — the resistance was real. This is what strategic choice actually costs. It costs the certainty of the present for the possibility of the future. Most leaders will not pay that price. They choose the comfort of doing many things adequately over the discomfort of doing one thing extraordinarily.

The shift. After sustained coaching, the CEO made the decision. He stopped all other activities and committed the firm's full

capability to lean management consulting alone. That was the first narrowing. Then, within a year, the old patterns began to reappear: training programmes crept back into the offering, the client profile began to expand, and the word "no" became harder to say as growth created new demands and new opportunities. A second round of strategic work was required. This time, the firm narrowed its client profile further — a specific industry, a specific scale of organisation, a specific problem set — and built the discipline to refuse everything outside that definition.

The outcome. The business grew 15X in two years. It is on track for another 100X in the next five years. These are not linear projections or optimistic forecasts. They reflect what becomes possible when an organisation stops distributing its capability across everything and concentrates it on the thing it does best.

The BUSYness of trying to be everything to everyone was not just limiting growth. It was preventing it. The strategy was always there. The capability was always there. What was missing was the discipline to choose — and to hold the choice when the pressure to accommodate returned. That discipline is what made the difference between an organisation that was BUSY all year and one that was building something that compounded.

In another case, a manufacturing CEO was initially aligned to make tough choices, but when sales people raised concerns about hitting targets, he retreated and diluted the strategic choices. The result: the company remained a commodity business. The dream was to compete with global players in high-value, high-quality products —

but not willing to let go of the commodity work. Not willing to say no. BUSYness as the path of least resistance.

Almost every CEO and leadership team we have worked with faces this moment at some point: they understand the strategic logic, they can see the trade-off that needs to be made — and then they develop cold feet. Strategy compromised. No tough choices really made. BUSYness seems safer than the difficult discipline of strategic thinking.

Exercises — Chapter 3: Strategy

Strategy only exists where choices exist. These exercises are designed to test whether your strategy is real — or whether it is a beautifully presented collection of intentions.

Exercise 1: The Strategy Test

— State your Where to Play in one sentence. Then state your How to Win in one sentence.

— Point to three decisions made in the last 30 days that reflect these choices.

— If you cannot point to those decisions, what does that tell you about how real your strategy currently is?

Exercise 2: The Assumption Audit

— List three things you believe to be true about your customers, your market, or your competitive position. When were they last verified?

— Which assumption, if it turned out to be wrong, would require you to fundamentally rethink your strategy?

— What would it take to find out whether that assumption is still accurate?

Exercise 3: The 'No' Inventory

— List every initiative, project, or activity your organisation is currently running.

— For each one, ask: Is this directly connected to our Where to Play and How to Win?

— Which ones would you stop — honestly — if you were starting fresh today?

The Mirror Question

When you imagine your clients talking about your organisation without you in the room, what do you hope they say? And what do you fear they actually say?

The gap between those two answers is your real strategic challenge.

Strategy is not the document. Strategy is the pattern of choices your organisation makes every day — including the ones you were not even aware were choices. Start seeing them.

Chapter 4 asks the question that follows logically from strategy: do you have the people, in the right roles, with the right preparation, to actually execute it? Most organisations discover they do not — not because the people are wrong, but because the architecture of competency was never properly built.